

departments have, in fact, accelerated their capital expenditure. Even in the states, there has been an encouraging uptick in capital expenditures so far this financial year," he says, adding that there are incipient signs of investment intentions in the private sector as well.

An article in the RBI's August bulletin highlights that the investment cycle appears to be poised to gain momentum going ahead, but its sustainability needs to be watched closely. "The government's thrust on capex, besides various policy initiatives to revive the investment cycle, and improved economic outlook provided a conducive environment for the private corporates to undertake fresh capital investment," it notes, though the views are of the authors. (See Chart *Robust Numbers*.)

But questions over its sustainability remain as anecdotal evidence suggests companies tend to remain in 'wait and watch' mode for the Lok Sabha elections next year. Measures to attract investments such as production-linked incentives have seen mixed success. The scheme for 14 sectors, with an outlay of ₹1.97 lakh crore, has seen investments of over ₹78,000 crore although it is being reviewed for some sectors.

THE IMPACT OF THE MONSOON

An unexpected source of trouble has been the weak monsoon, with August proving to be the driest ever. All-India rainfall has turned deficient at 36 per cent below long period average (LPA) as on August 31, although there is expectation of some revival in September. Economists warn that this could impact kharif crop prices and lead to inflationary pressures in cereals and pulses. "Overall monsoon is expected to remain below normal, under pressure from El Niño. This could hit kharif production.



"Global crude and commodity prices have eased, which has proved to be a benefit for India. However, Europe and the US—India's two largest export markets—are still impacted by the [Russia-Ukraine] war"

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SENIOR DIRECTOR & PRINCIPAL
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Rabi crop could also be hit if groundwater levels are not replenished adequately," says a note by rating agency CRISIL, adding that food is the biggest risk to inflation, given the weak monsoon. "Rural demand will particularly face the brunt from the hit to incomes from low crop output and high inflation," it adds.

The government has already taken some pre-emptive measures such as restricting wheat, rice and onion exports. Food inflation, due to a surge in prices of perishables such as tomatoes, has become a problem after rising to a 15-month high of 7.44 per cent in July, although it eased to 6.83 per cent in August as prices of vegetables moderated. It is seen to be sticky in the coming months as well. For now, the silver lining is that core inflation has remained contained and is likely to stay so.

TRACKING CONSUMPTION DEMAND

Private consumption, with a 6 per cent growth in Q1FY24, helped boost GDP growth. But concerns persist that consumption demand is yet to fully recover. Sinha of India Ratings notes that while there is a YoY growth in private final consumption expenditure and urban demand seems to have revived, the picture is not as rosy as it seems. "A deeper analysis reveals that the post-Covid-19 recovery in demand is skewed. People with stable incomes have not seen an impact on their spending capacity. But the lower 50 per cent of the consumption bracket remains severely impacted because either they have not been able to get jobs or their wages have fallen," he notes.

The government is, however, doing its best to ensure consumption demand, says the Finance Secretary, while disagreeing with the view that consumption is yet to fully recover. "We are doing a lot of capital investment that creates a lot of jobs, and particularly the construction sector is very labour intensive. We have sustained all of our social programmes. So government expenditure is doing its bit in terms of consumption," Somanathan says, adding that different welfare programmes such as the Pradhan Mantri Gram Sadak Yojana and Pradhan Mantri Awas Yojana are pumping resources into the economy.

How each of these factors plays out in the coming months will be crucial to the performance of the Indian economy this fiscal, and more importantly, whether it manages to post a full recovery in the next financial year. Significant reforms may be unlikely for now because of the upcoming general elections, but sustaining the pace of capital expenditure and nurturing the revival in investment sentiment could make a huge difference. **BT**

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